Question #1 of 36

Question ID: 1675353

According to the Code of Ethics, which of the following statements is not correct? CFA Institute members are required to:

A) maintain and improve their competence and strive to maintain the competence of others in the profession.

B) use reasonable care and exercise independent professional judgment.

C) comply with the CFA Institute Global Investment Performance Standards.

Question #2 of 36

Question ID: 1675370

Which of the following is not part of the CFA Institute Code of Ethics? Members of CFA Institute will:

A) recommend investments that maximize returns for a given level of risk.

B) strive to maintain and improve their competence and the competence of others in the profession.

C) use reasonable care and exercise independent professional judgment.

Question #3 of 36

Question ID: 1675351

Which of the following activities would be following a component of the Code of Ethics explicitly?

A) Attending continuing education seminars on investing and inviting colleagues to come along.

B) Consulting with colleagues about opinions you reach in your research.

C) Maintaining a list of colleagues who have violated the CFA Institute standards.

Question #4 of 36

Question ID: 1675358

Michael Malone, CFA, is an investment analyst for a large brokerage firm in New York who covers the airlines industry. After hours in his personal time, Malone maintains an online blog on which he expresses his personal opinions about various investment opportunities, including, but not limited to, the airlines industry. On his blog, he posts a very negative investment opinion about WestAir stock. Malone knows that WestAir's stock will be downgraded to a "sell" by his firm next week. Malone has *most likely* violated:

A) Standard II(A): Material Nonpublic Information.

B) Standard IV(A): Loyalty.

C) Standard VI(B): Priority of Transactions.

Question #5 of 36

Question ID: 1675346

Harold Klein, CFA, is an expert on ethical conduct in the investment banking industry and has been asked by an association of investment bankers to give a presentation on interpreting codes of ethics and standards of practice such as the CFA Institute Code of Ethics and Standards of Professional Conduct. In his presentation, Klein makes two key points:

1. Sound ethical judgment requires careful and thoughtful application of ethical standards, which are precise and exacting in nature.
2. An ethical professional must begin the ethical decision-making process by determining the applicable code and standards that govern the situation.

Determine whether Klein's statements are correct or incorrect and state your conclusion.

	Statement 1	Statement 2
A)	Correct	Correct
B)	Incorrect	Incorrect
C)	Incorrect	Correct

Question #6 of 36

Question ID: 1675355

The first component of the Code of Ethics does not explicitly say that a CFA Institute member will act in a certain manner with respect to which of the following groups?

A) Colleagues.

B) CFA Institute members and candidates in the CFA Program.

C) Prospective clients.

Question #7 of 36

Question ID: 1675354

Which of the following is not part of the CFA Institute Code of Ethics?

A) Contractual provisions.

B) Independent judgment.

C) Competence.

Question #8 of 36

Question ID: 1675357

Which of the following is a component of the Code of Ethics? CFA Institute members must:

A) use reasonable care and exercise independent professional judgment.

B) use particular care in determining applicable fiduciary duty.

C) not knowingly participate or assist in any violation of laws, rules, or regulations.

Question #9 of 36

Question ID: 1675349

Tyler Hanson, CFA, was recently hired as a portfolio manager at Newton Management, Inc. Hanson is concerned about several ethically questionable situations that have presented themselves over the past few weeks, and has approached the firm's compliance officer for counsel as to the best course of action to take in light of each situation. The compliance officer has offered several suggestions to assist Hanson in evaluating the situations that he detailed in their meeting. Which of the compliance officer's following suggestions should Hanson not use in interpreting the Code and Standards to determine appropriate action?

A) Assess whether the general public would perceive the firm more favorably if the situation were to be objectively reported in the media, and if not, choose a different course of action.

B) Assess whether the chosen action would provide an immediate positive economic benefit to the firm, and if not, choose a different course of action.

C) Determine whether a fully informed client would likely view the chosen action favorably, and if not, choose a different course of action.

Question #10 of 36

Question ID: 1675348

Which of the following statements concerning the interpretation and application of the CFA Institute Code of Ethics and Standards of Professional Conduct is *least accurate*?

A) Once the relevant sections of the Code of Ethics and Standards of Professional Conduct have been identified, the investment professional must determine if the course of action is consistent with the intent, whether the client would agree the action is the best alternative, and whether the firm's reputation would be enhanced or compromised.

B) Ethical reasoning is mathematically precise, and the technical terms found in the Code of Standards and Standards of Professional Conduct are clear cut and unambiguous.

C) The Code of Ethics is a concise set of general principles that can be used to address questions as they arise, but as a practical matter, ethical decision-making is needed to apply the Code to complicated situations.

Question #11 of 36

Question ID: 1675337

Steve Jones is a member of CFA Institute but has not earned the CFA designation yet. CFA Institute is investigating Jones's activities. If Jones declines to cooperate, he may:

A) not be suspended because cooperating could be self-incriminating.

B) be suspended from membership.

C) not be suspended because he does not have the CFA designation yet.

Question #12 of 36

Question ID: 1675363

Which of the following is a component of the Code of Ethics?

A) Members and candidates must not engage in conduct that compromises the integrity of the CFA designation or the security of the CFA examinations.

B) Practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession.

C) Transactions for clients and employers have priority over transactions in which a member or candidate is the beneficial owner.

Question #13 of 36

Question ID: 1675373

The CFA Institute Code of Ethics *least likely* requires a member or candidate to:

A) strive to maintain and improve the competence of others in the profession.

B) understand and comply with all applicable laws, rules, and regulations.

C) practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession.

Question #14 of 36

Question ID: 1675361

In dealing with the public and others, the CFA Institute Code of Ethics requires that CFA Institute members act with:

A) honesty, professionalism, and high ethical standards.

B) integrity, competence, and respect.

C) candor, skill, and honor.

Question #15 of 36

Question ID: 1675369

The CFA Institute Code of Ethics specifies that CFA Institute members and candidates must do all of the following except:

A) refrain from any conduct that compromises the reputation or integrity of the CFA designation.

B) use reasonable care and exercise independent professional judgment when engaging in professional activities.

C) act with integrity, competence, diligence, respect, and in an ethical manner.

Question #16 of 36

Question ID: 1675368

According to the Code of Ethics, when practicing in a professional and ethical manner, the goal is to:

A) resolve conflicts between clients and employers.

B) reflect credit on members and the profession.

C) increase membership in CFA Institute.

Question #17 of 36

Question ID: 1675359

Liam McCoy has lunch with a wealthy client whose portfolio he manages. McCoy advises the client to double his current position in the JKM Corporation due to an anticipated increase in sales. In accordance with Standard (V): Investment Analysis, Recommendations and Actions, when McCoy returns to his office, he should:

A) verify the suitability of the investment recommendation before placing the client's order.

B) identify other clients for whom JKM may be a suitable investment and notify them immediately of his recommendation.

C) document the details of the conversation with the client regarding his investment recommendation.

Question #18 of 36

Question ID: 1675365

The Code of Ethics does not explicitly say that a CFA Institute member must do which of the following?

A) Reflect credit on the profession.

B) Actively lobby for new laws to protect the public.

C) Act with integrity.

Question #19 of 36

Question ID: 1675367

The first component of the Code of Ethics does not explicitly say that a CFA Institute member will act with which of the following?

A) Solemnity.

B) Competence.

C) Integrity.

Question #20 of 36

Question ID: 1675372

According to the CFA Institute Code of Ethics, CFA Institute members must:

A) maintain knowledge and comply with all applicable laws, rules, and regulations.

B) act with integrity, competence, diligence, respect, and in an ethical manner when dealing with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets.

C) preserve the confidentiality of information communicated by clients, prospects, or employers concerning investment matters.

Question #21 of 36

Question ID: 1675364

Which of the following is a component of the Code of Ethics? CFA Institute members must:

A) disclose to their employer all matters that reasonably could be expected to interfere with their duty to their employer or ability to make unbiased and objective recommendations.

B) make reasonable efforts to detect and prevent violations by those who are under their supervision.

C) strive to maintain and improve their competence and the competence of others in the profession.

Question #22 of 36

Question ID: 1675371

Which of the following is a component of the Code of Ethics?

A) Members must not engage in any professional conduct involving dishonesty, fraud, deceit, or misrepresentation or commit any act that reflects adversely on their honesty, trustworthiness, or professional competence.

B) Members must not knowingly participate or assist in any violation of such laws, rules, or regulations.

C) Members must use reasonable care and exercise independent professional judgment.

Question #23 of 36

Question ID: 1675362

Which of the following is not an act explicitly referred to in the Code of Ethics?

A) Using reasonable care when making investment recommendations.

B) Improving professional competence.

C) Giving free introductory seminars on investing to the public.

Question #24 of 36

Question ID: 1675347

Kevin Lowell, CFA, manages a pension plan for a national grocery retailer. All of the following are required as a part of Lowell's fiduciary duties, except:

A) act in a prudent and judicious manner.

B) support the sponsor's management during proxy fights.

C) place the client's interest before the employer's interest.

Question #25 of 36

Question ID: 1675350

Which of the following is *least likely* a component of the Code of Ethics? In dealing with the public, clients, prospects, employers, employees, and fellow members, CFA Institute members must act with:

A) integrity.

B) humility.

C) respect.

Question #26 of 36

Question ID: 1675356

All of the following are components of the Code of Ethics except:

A) striving to maintain and improve their competence and the competence of others in the profession.

B) using reasonable care and exercising independent professional judgment.

C) demonstrating diligence, independence, and thoroughness when preparing investment reports.

Lin Liu, a Level III candidate, sat for the CFA examination in June in Hong Kong. Liu was very nervous before and during the exam because she did not study the material as well as she had planned. She feels particularly weak in the use of complex derivatives to modify portfolio risk and return and hopes the exam will not have many questions on that topic.

Liu arrived at the exam center very early and planned to do some last minute studying in the exam room. She had a large backpack with her that contained all of her study notes. When she arrived at the exam center, the proctor who was checking candidates in at the door told Liu that she could not bring her backpack or study notes into the exam room but would need to leave them somewhere outside the exam center. Liu left the exam room and

continued to study until the very last minute. She didn't know where to leave her backpack. She remembered that there was a small closet in the ladies' bathroom, which was just outside the exam room. She decided to leave her backpack and notes hidden there.

Liu showed her current passport and approved calculator to the proctor and was sent to her assigned seat. She was seated at the end of a row with another candidate to her right. Wang Chou, lead proctor, read the opening statement to candidates as the exam booklets were distributed. Chou cautioned candidates not to open the exam booklet until he instructed them to do so.

When Masako Yamasaki, the section proctor, distributed the exam booklets, Liu quickly opened hers and began to read the first question. Yamasaki rushed over and told Liu to close her exam booklet until Chou instructed candidates to open the booklets. Liu closed her book and waited patiently for Chou to make his announcement. When instructed to open her booklet, Liu quickly began taking the exam. Liu's actions at the start of the exam cause Yamasaki to pay close attention to her during the exam.

About 50% of the morning session consisted of questions about derivatives. Liu became increasingly nervous about her ability to answer these questions correctly. She remembered that she had left her notes in the ladies' bathroom and decided she had nothing to lose by going to the bathroom and looking at her notes. She raised her hand and received permission from Yamasaki to go to the bathroom. She retrieved her notes from the closet where she had hidden them when Yamasaki entered the bathroom and found her with her notes. Yamasaki informed Liu that she would confiscate the notes and inform the CFA Institute of Liu's actions in a proctor report. Liu then gathered her belongings and left the exam center.

Question #27 - 32 of 36

Question ID: 1675339

Are CFA candidates subject to the same disciplinary action for violations of the CFA Institute Code of Ethics and Standards of Professional Conduct (Code and Standards) for their actions during the CFA examination as other members of the CFA Institute?

A) Yes—CFA candidates are subject to the same disciplinary action for violations of the Code and Standards for their actions during the CFA examination.

B) No—CFA candidates are not subject to the same disciplinary action for violations of the Code and Standards during the exam, but other sanctions may still be imposed upon them.

C) No—CFA candidates are not subject to the same disciplinary action for violations of the Code and Standards during the exam because they are not members of the CFA Institute.

Question #28 - 32 of 36

Question ID: 1675340

Several weeks after the exam, Liu received a letter from the Professional Conduct staff of the CFA Institute's Professional Conduct Program concerning Liu's use of notes during the exam. When a proctor (complaining party) informs the CFA Institute Professional Conduct Program of a potential violation of the Code and Standards during the examination, the CFA Institute's Rules of Procedure permit the Professional Conduct staff to do all of the following except:

A) disclose the name, address, and phone number of the proctor (complaining party) to the candidate, regardless of the complaining party's wishes.

B) designate another person to act on his or her behalf.

C) provide the candidate with a notice of inquiry explaining the nature of the investigation.

Question #29 - 32 of 36

Question ID: 1675341

After conducting an investigation into Liu's actions, including reviewing proctor reports, speaking with proctors, and reviewing Liu's notes, the Professional Conduct staff notified Liu they were proposing the following sanction: voiding of exam results and a permanent expulsion from participation in the CFA program. Liu is devastated and determines to appeal the proposed sanction.

Which of the following *best* describes the option open to Liu to appeal the Professional Conduct staff proposed sanction?

A) Liu may admit wrongdoing and enter into a stipulation agreement with the designated officer for a lesser sanction.

B) Liu may request a panel review.

C) Liu may reject the proposed sanction.

Question #30 - 32 of 36

Question ID: 1675342

Liu rejected the charges, and a panel was convened to review the proposed sanction. The panel was convened by telephone, and panel members heard testimony from Liu and Yamasaki. Liu admitted that she had reviewed her notes, recognized her error, and expressed remorse and a commitment to avoid violations of the Code and Standards in the future.

A panel review has the authority to issue all of the following decisions with respect to sanctions except:

A) reverse the sanction.

B) refer the matter back for further review.

C) impose a lesser sanction.

Question #31 - 32 of 36

Question ID: 1675343

Throughout the investigation and appeal processes, Liu was concerned that her friends and colleagues would learn that she was under investigation and might be expelled from the CFA program.

Which of the following circumstances would permit the CFA Institute Professional Conduct Program to disclose information about a professional conduct investigation to external parties?

A) The Professional Conduct staff receives a call from a journalist about a case under investigation.

B) Criminal activity is uncovered.

C) A complaining party wants to know what the Professional Conduct Program is doing to investigate his complaint.

Question #32 - 32 of 36

Question ID: 1675344

After she received the Notice of Inquiry from the Professional Conduct staff, Liu had fully cooperated with the investigation into her actions during the CFA exam. If a member or candidate receives a Notice of Inquiry about an alleged violation of the CFA Institute Code and Standards and fails to cooperate fully with the investigation, which of the following sanctions is the Professional Conduct staff likely to impose?

A) Suspension or prohibition from further participation in the CFA program.

B) Private censure.

C) One-year timed suspension.

Question #33 of 36

Question ID: 1675366

According to the Code of Ethics, a member reflects credit on the profession when a member:

A) places the clients first.

B) consults with other members on a regular basis.

C) practices in a professional and ethical manner.

Question #34 of 36

Question ID: 1675352

According to the Code of Ethics, the professional judgment of a member should be:

A) independent.

B) dependent on that of his/her colleagues.

C) guided by the SEC guidelines.

Question #35 of 36

Question ID: 1675360

In accordance with Standard III(A): Loyalty, Prudence and Care, which of the following statements is *least accurate*? Members and candidates should:

A) vote all proxies on behalf of clients in a responsible manner.

B) submit to clients, at least quarterly, itemized statements detailing all of the period's transactions.

C) use client brokerage to the sole benefit of the client.

Question #36 of 36

Question ID: 1675345

Which of the following statements regarding disciplinary procedures is *least accurate*?

A) If the CFA member or candidate rejects the sanction, the charges and sanctions may be reviewed.

B) The sanctions imposed by the Professional Conduct staff are final and conclusive.

C) A review panel is created from Disciplinary Review Committee members.